

Daily Trend · H1 EMA Pullback

Concept

Higher-timeframe trend trades are the highest-quality continuation setups.

Daily trend defines bias (close above 20-EMA on D1 = long-only). H1 pulls back to its 20-EMA. On 15m, the first pin bar or engulfing in the bias direction at that pullback is the entry.

Rules

- Daily bias — D1 close > 20-EMA -> LONG only. < 20-EMA -> SHORT only.

The 20-EMA must also be sloping in the bias direction.

- H1 pullback — Last 3 H1 bars touched within $0.3 \times \text{ATR}(\text{H1})$ of the H1 20-EMA.
- 15m rejection — Most recent 15m bar is a pin bar or engulfing in the bias direction, with body in that direction.

Entry

- Market at rejection-bar close.

Stop loss

- $0.4 \times \text{ATR}(15\text{m})$ beyond the rejection wick extreme.

Take profit

- TP1: $1.5 \times \text{risk}$
- TP2: $3.0 \times \text{risk}$

Why this passes evals

- Trend-trades have the highest expectancy; 3R targets stack profit fast.
- The daily + H1 + 15m alignment is a triple filter — fewer but cleaner fires.
- Stop sits beyond a real swing low/high, not arbitrary chart distance.

Backtest Results (3-day walk-forward)

Trades: 7 · 2.33 per day

Win rate: 86% · Avg winner: 1.26 RR

Expectancy: 0.93 R per trade · Profit factor: 7.54

Result vs target (60% win, 1.2 RR): LOW-SAMPLE

